ARIF HABIB LIMITED

REP-300

Pakistan Economic Survey FY23

Key Highlights

08-Jun-2023

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ASIAMONEY

Best Securities House: 2022
Best Investment Bank: 2022

FinanceAsia

Best Investment Bank: 2022

Global Business Outlook

Best Equity House: 2022

ASSET ASIAN AWARDS TRIPLE A

Best Equity Advisor: 2021

CFA Society Pakistan

Best Brokerage House: 2022
Corporate Finance House: 2022
Best Economic Research House: 2022
Best Equity Research Analyst: 2022

PSX PAKISTAN STOCK EXCHANGE LIMITED

Top 25 Companies
(2019, 2018 & 2017)

CDC CENTRAL DEPOSITORY COMPANY

Excellence Award
Leading Brokerage House for RDA 2021

FINANCIAL MARKETS ASSOCIATION OF PAKISTAN -FMA-

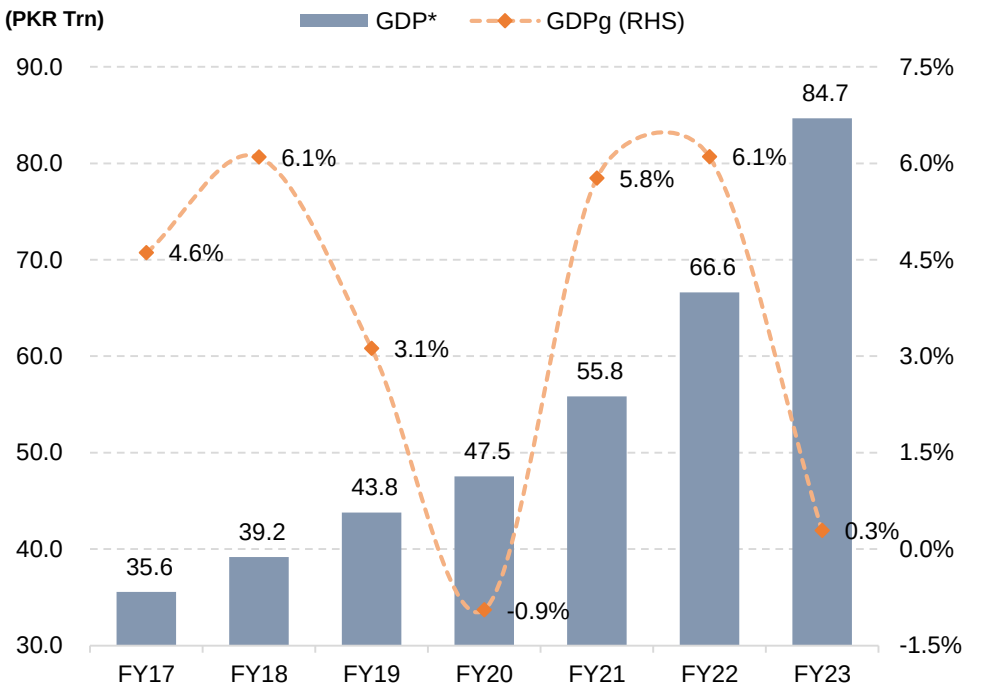
Best Money Market Broker
(Islamic) 2021

Pakistan Economic Survey FY23

Key Highlights

- Pakistan's **GDP** grew by 0.29% in FY23 (FY22: 6.1%).
- **Services** sector growth was recorded at 0.86% in FY23 vs 6.19% in FY22 with Wholesale & Retail trade posting a decline of 4.46% during the year (FY22: 10.3%).
- **Industry sector** growth stood at -2.49% in FY23 vs 6.83% last year. Large-Scale Manufacturing witnessed a decline of 8.11% during 9MFY23 (versus 10.61% during 9MFY22). Only four sectors posted positive growth during the period including: Furniture, wearing apparels, other manufacturing (footballs) and leather products.
- **Agriculture sector** growth stood at 1.55% in FY23 vs 4.27% in FY22. The Livestock sector growth of 3.78% was recorded, accompanied by forestry and fishing showing growth of 3.93% and 1.44%, respectively.
- The **size of Pakistan's economy (nominal GDP)** increased to PKR 84.7trn in FY23 compared to PKR 66.6trn recorded in FY22. In dollar terms, the size of the economy reached to USD 341.6bn.
- During FY23, the **Per Capita Income** increased to PKR 388,755 (equivalent to USD 1,568.4). The decline in GDP per capita (dollar terms) of 11.2% was mainly due to currency depreciation, lower growth, and rising population.
- Total **investment** during FY23 posted a growth of 10.2% (FY22: 29.1% YoY) marking 13.6 % of GDP (FY22:15.7%).
- Moreover, **National Saving** increased by 44.7% against a decline of 3.8% in last year, settling at 12.6% of GDP (FY22: 11.1%).

Exhibit: Pakistan Gross Domestic Product



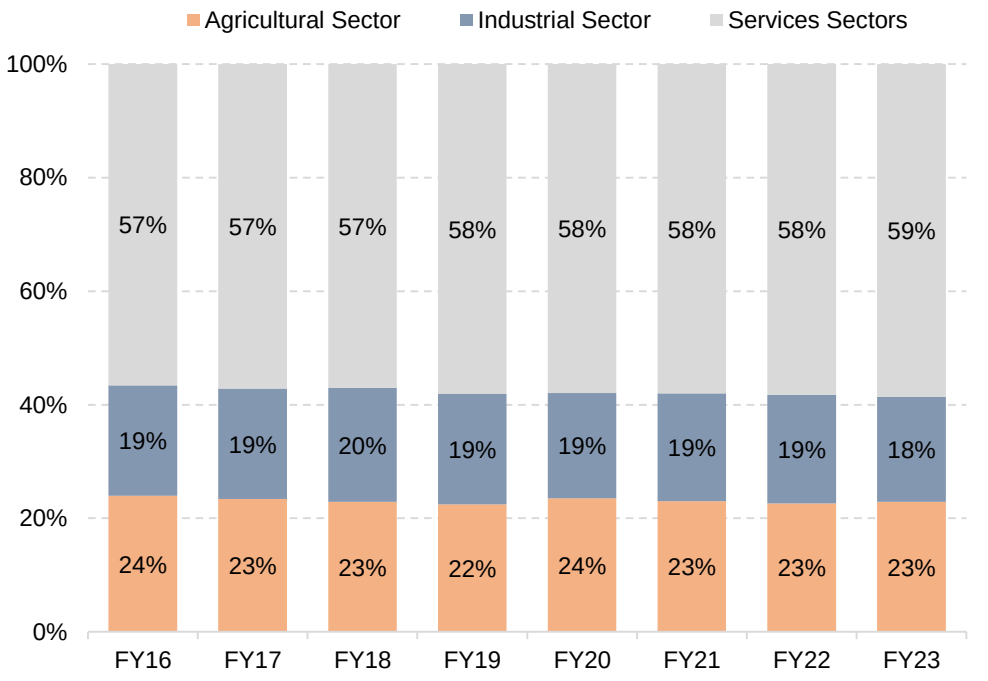
Source (s): Pakistan Economic Survey 2023, AHL Research, *@ current market price

Pakistan Economic Survey FY23

Key Highlights

- **Current Account Deficit** narrowed down by 76% to USD 3.3bn versus USD 13.7bn in FY22, owing mostly to lower imports. **Exports** witnessed decline of 12.1% to reach USD 25.4bn for 11MFY23 (compared to USD 28.9bn for 11MFY22) while total **imports** during 11MFY23 clocked at USD 51.2bn showing a decline of 29.2% YoY. With this the t**rade deficit** in goods and services shrank by 40.4% YoY to USD 25.8bn during 11MFY23.
- **FDI** inflows decreased by 23.2% to USD 1.17bn in 10MFY23 as against USD 1.52bn last year, with major investments from China (30%) and Japan (15%). Power sector attracted the highest amount of FDIs (44%) followed by the Financial Business (24%).
- **Remittances** saw a YoY decrease of 13% to USD 22.7bn during 10MFY23. Major contributions during 9MFY23 came from Saudi Arabia - USD 4.9bn (23.9%), U.A.E - USD 4.3bn (17.5%), U.K - USD 3.0bn (14.9%), and USA- USD 2.3bn (11.1%).
- SBP's **reserves** depleted to USD 4.2bn by the end of Mar'23 mainly on the account of amortization of official loans and liabilities.
- **Money Supply** (M2) grew by 7.3% to PKR 2.03trn during Jul'22 to mid May'23, compared to 6.2% growth in same period last year.
- **Private sector credit** witnessed a massive decline, clocking-in at PKR 75.4bn during Jul'22 to mid May'23 compared to PKR 1.4trn same period last year.
- With high **revenue** collection of PKR 6.94trn (18.1% higher YoY), the **fiscal deficit** was contained at 3.6% of GDP during 9MFY23 against last year same period's deficit of 3.9%.

Exhibit: Sector wise contribution in GDP



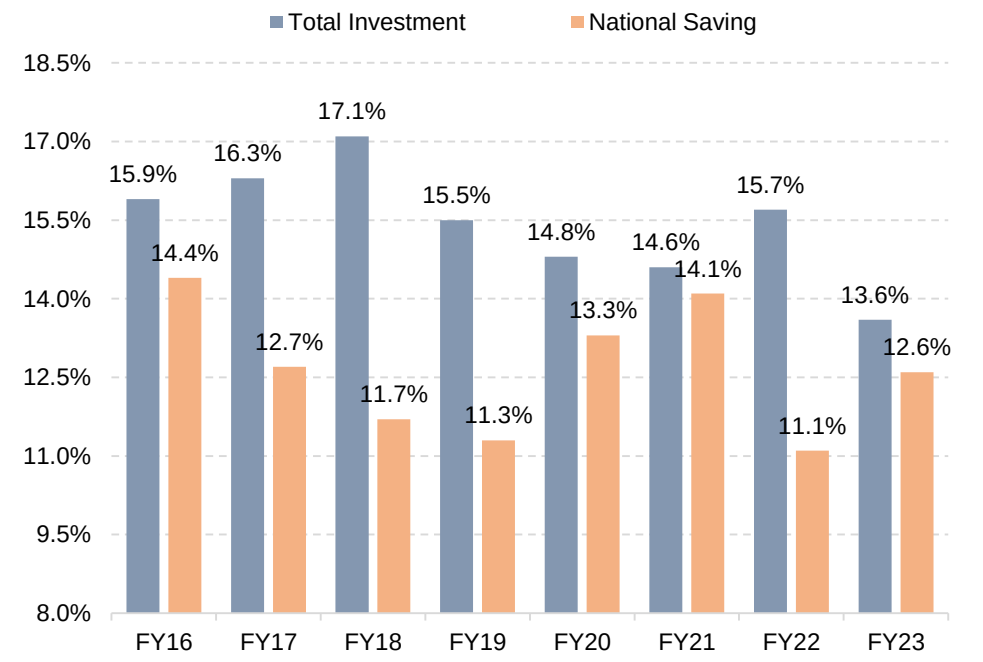
Source (s): Pakistan Economic Survey 2023, AHL Research

Pakistan Economic Survey FY23

Key Highlights

- Total **expenditures** during 9MFY23 grew by 18.7% to PKR 10.1trn (PKR 8.4trn in same period last year) mainly on account of 25.3% higher current expenditure (PKR 9.2trn). This higher **current expenditure** was on the back of 69.1% jump in markup payments amid higher policy rates at the domestic and international levels as well as Rupee depreciation.
- **Primary Balance** posted a surplus of PKR 503.8bn vs. a deficit of PKR 447.2bn (9MFY22).
- **Tax Collection** grew by 16.5% while non-tax revenues increased by 25.5% in 9MFY23. For the same period, FBR revenue collection target exceeded by 17.6% to PKR 5.2trn.
- **Policy rate** currently stands at 21%, as opposed to 13.75% at the beginning of FY23, as a result of contractionary measures to limit inflation.
- Annual **Inflation** (CPI) averaged at 29.2% during 11MFY23 against 11.3% recorded in same period last year. This high inflation was mainly due to depreciation in the exchange rate, supply disruptions caused by flood damages, increased global food prices, and broader energy tariff hikes.
- Total **public debt** was recorded at PKR 59.2trn (end Mar'23), with domestic debt of PKR 35.1trn, and external public debt of PKR 24.2trn or USD 85.2bn. The Government also managed to pay-off Treasury Bills amounting to PKR 527bn which led to a reduction of short-term maturities and PKR 310bn against SBP debt.
- The damage caused by **flooding** is estimated at PKR 3.2trn (USD 14.9bn) and the need for rehabilitation of damages stands at PKR 3.5trn (USD 16.3bn).

Exhibit: Investments and Savings as % of GDP



Source (s): Pakistan Economic Survey 2023, AHL Research

Pakistan Economic Survey FY23

Gross Domestic Product of Pakistan

Exhibit: Gross Domestic Product of Pakistan

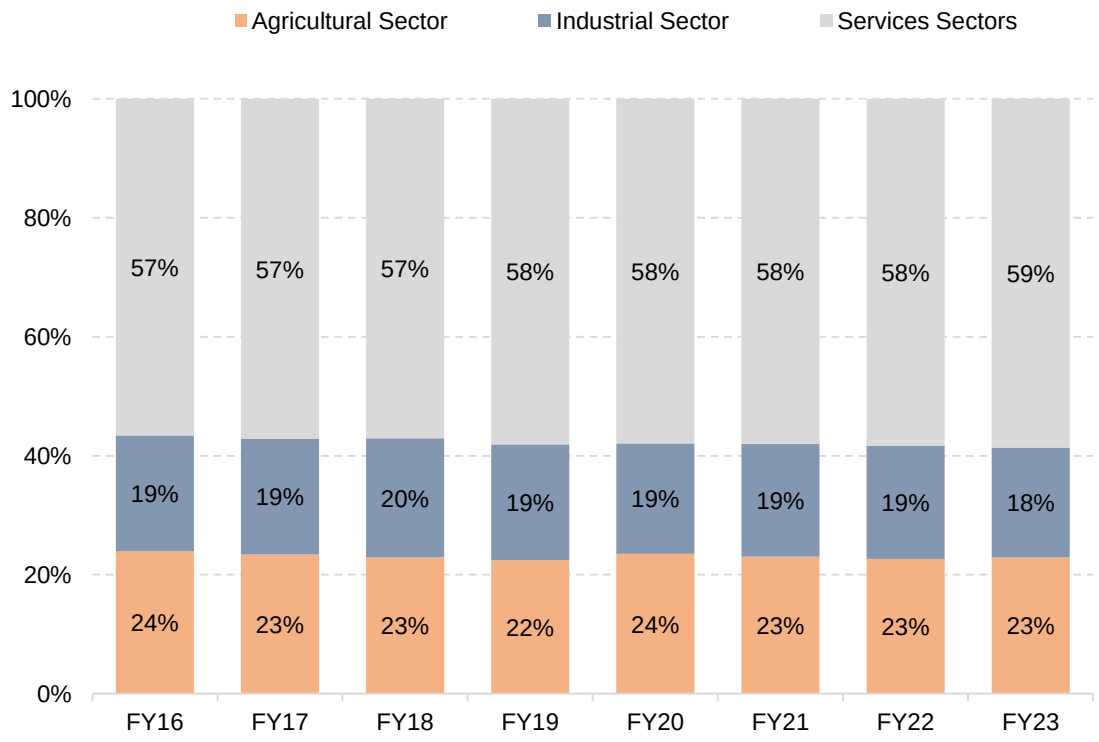
PKR bn	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23
Commodity Producing Sectors	**13,247**	**13,682**	**14,542**	**14,632**	**14,548**	**15,359**	**16,193**	**16,111**
Agricultural Sector	**7,307**	**7,469**	**7,758**	**7,831**	**8,138**	**8,424**	**8,784**	**8,920**
1. Crops	2,497	2,531	2,648	2,532	2,692	2,849	3,082	3,006
i) Important Crops	1,462	1,502	1,566	1,431	1,506	1,594	1,680	1,626
ii) Other Crops	912	901	943	977	1,067	1,152	1,289	1,292
iii) Cotton Ginning	122	129	139	124	119	103	113	87
2. Livestock	4,532	4,663	4,830	5,007	5,147	5,269	5,388	5,591
3. Forestry	162	157	161	172	178	184	191	199
4. Fishing	116	118	119	120	121	122	122	124
Industrial Sector	**5,940**	**6,213**	**6,784**	**6,801**	**6,410**	**6,935**	**7,409**	**7,191**
1. Mining and Quarrying	691	685	735	739	686	698	649	620
2. Manufacturing (i+ii+iii)	3,669	3,847	4,120	4,306	3,970	4,388	4,864	4,674
i) Large Scale	2,842	2,958	3,163	3,274	2,907	3,241	3,627	3,337
ii) Small Scale	495	538	586	639	647	705	768	838
iii) Slaughtering	332	351	371	393	416	442	470	499
3. Electricity generation & distribution and Gas distribution	681	691	746	787	815	888	916	971
4. Construction	899	990	1,184	969	939	962	980	926
Services Sectors	**17,262**	**18,232**	**19,317**	**20,284**	**20,039**	**21,223**	**22,622**	**22,816**
1. Wholesale & Retail trade	5,380	5,727	6,115	6,332	5,999	6,647	7,333	7,007
2. Transport, Storage &Communication	3,449	3,589	3,708	3,991	3,634	3,811	3,967	4,155
3. Finance & Insurance	426	443	461	480	500	520	541	563
4. Housing Services (OD)	611	675	703	763	868	954	1,109	1,186
5. General Government Services	530	574	624	662	647	683	732	704
6. Real Estate Activities (OD)	1,735	1,799	1,864	1,933	2,007	2,080	2,157	2,237
7. Public Administration & Social Security (General Govt)	1,458	1,548	1,717	1,777	1,830	1,820	1,853	1,709
8. Education	955	940	973	992	1,025	1,012	1,070	1,181
9. Human Health and Social Work Activities	420	470	497	536	569	585	601	652
10. Other Private Services	2,298	2,467	2,655	2,819	2,960	3,110	3,258	3,421
GDP (Total of GVA at base price)	**30,508**	**31,914**	**33,860**	**34,916**	**34,587**	**36,582**	**38,815**	**38,927**
Taxes	2,443	2,484	2,611	2,555	2,450	2,894	2,906	3,089
Subsidies	226	222	192	287	326	375	780	384
GDP (GVA+T-S)	32,725	34,176	36,278	37,184	36,710	39,102	40,942	41,632
Net Primary Income (NPI)	**1,492**	**1,480**	**1,484**	**1,934**	**2,424**	**3,275**	**2,807**	**2,730**
Gross National Income	**34,217**	**35,656**	**37,762**	**39,119**	**39,134**	**42,377**	**43,748**	**44,362**
GDP(at Current Market Prices)	**32,725**	**35,553**	**39,190**	**43,798**	**47,540**	**55,836**	**66,624**	**84,658**

Source (s): PBS, AHL Research

Pakistan Economic Survey FY23

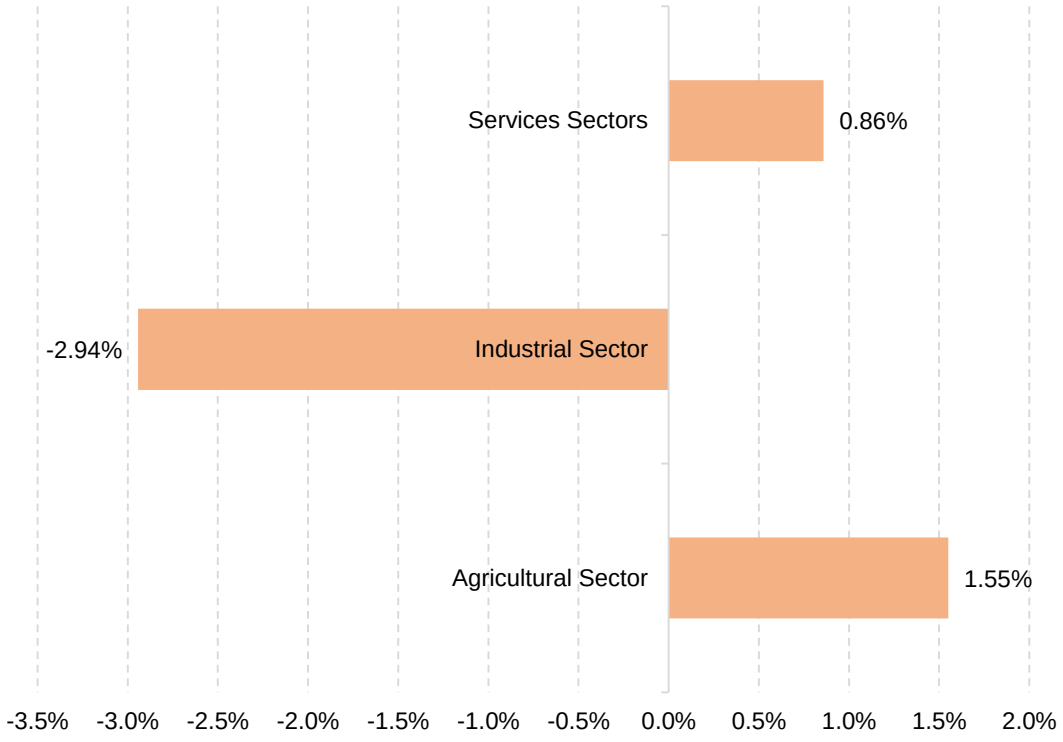
Sector Contribution in GDP and Growth

Exhibit: Sector Contribution in GDP



Source (s): Pakistan Economic Survey 2023, AHL Research

Exhibit: Sector Wise Growth (FY23)



Source (s): Pakistan Economic Survey 2023, AHL Research

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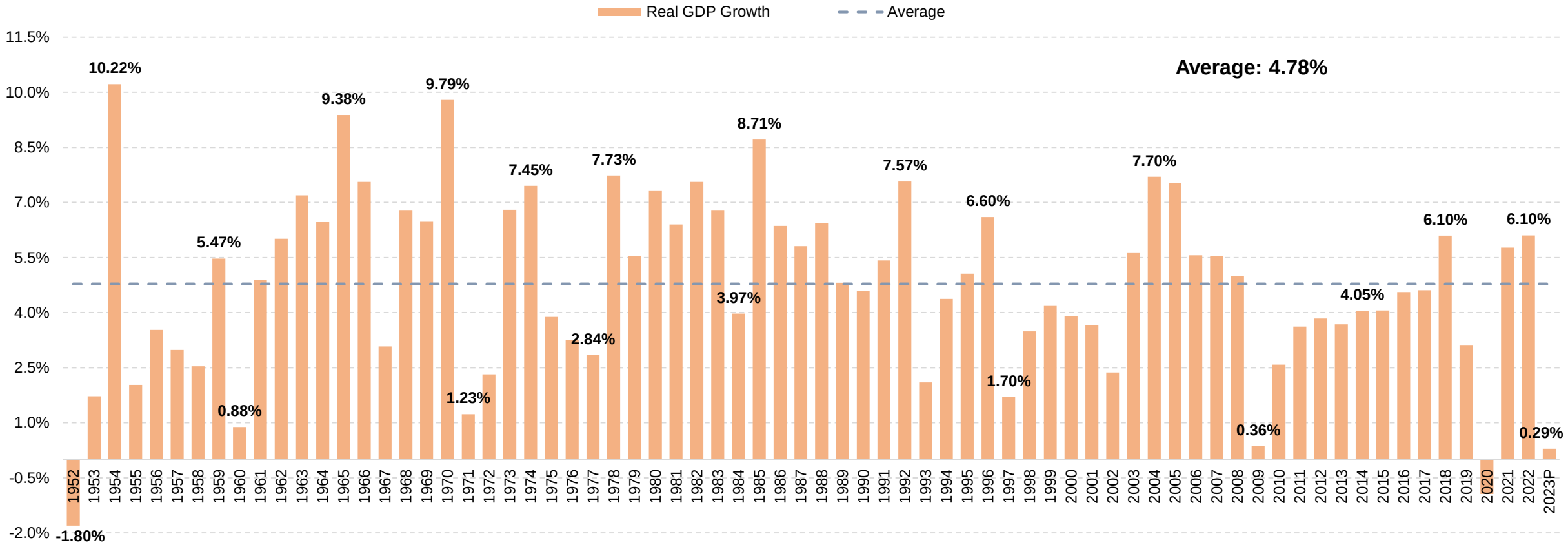
Pakistan Economic Survey FY23

Historical GDP Growth

Exhibit: Historical GDP Growth



Source (s): Pakistan Economic Survey 2023, AHL Research

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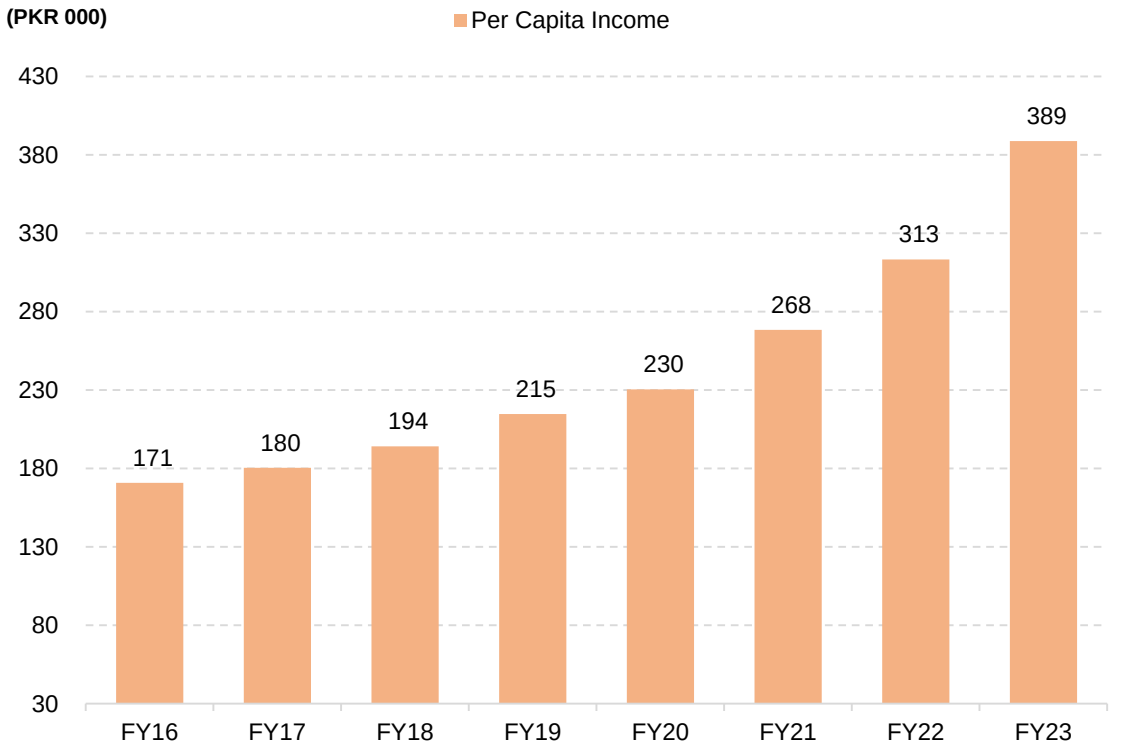
Pakistan Economic Survey FY23

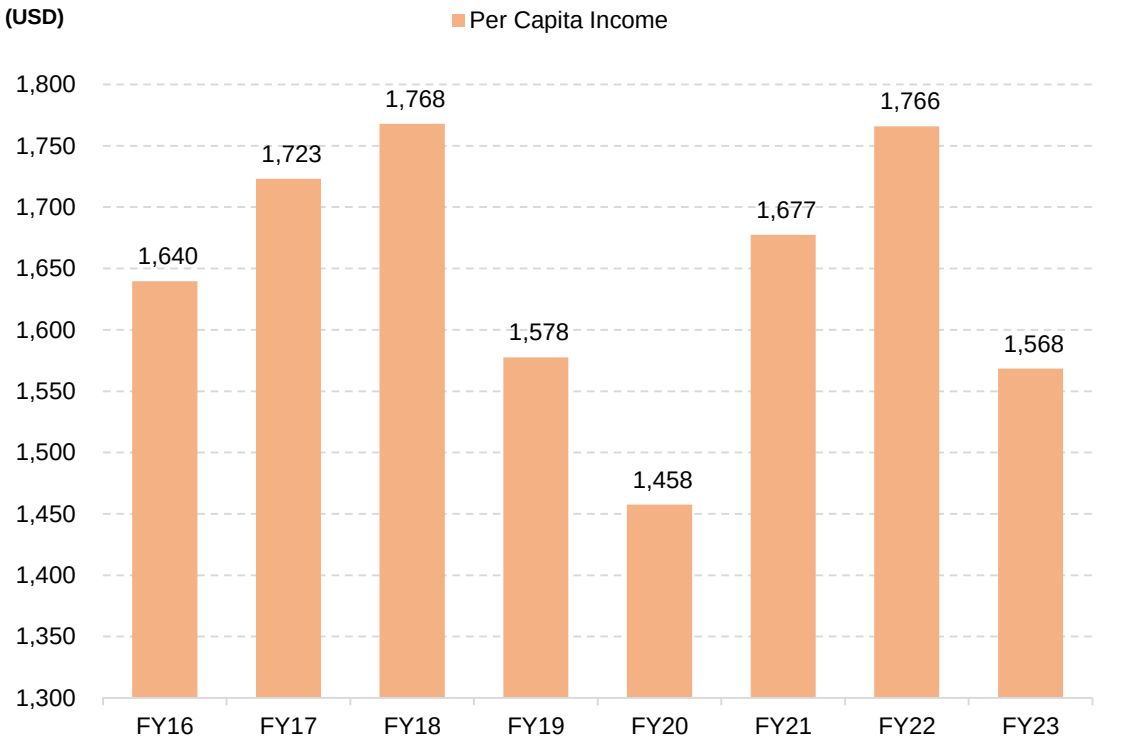
Per Capita Income

Exhibit: Per Capita Income (PKR)



Source (s): Pakistan Economic Survey 2023, AHL Research

Exhibit: Per Capita Income (USD)

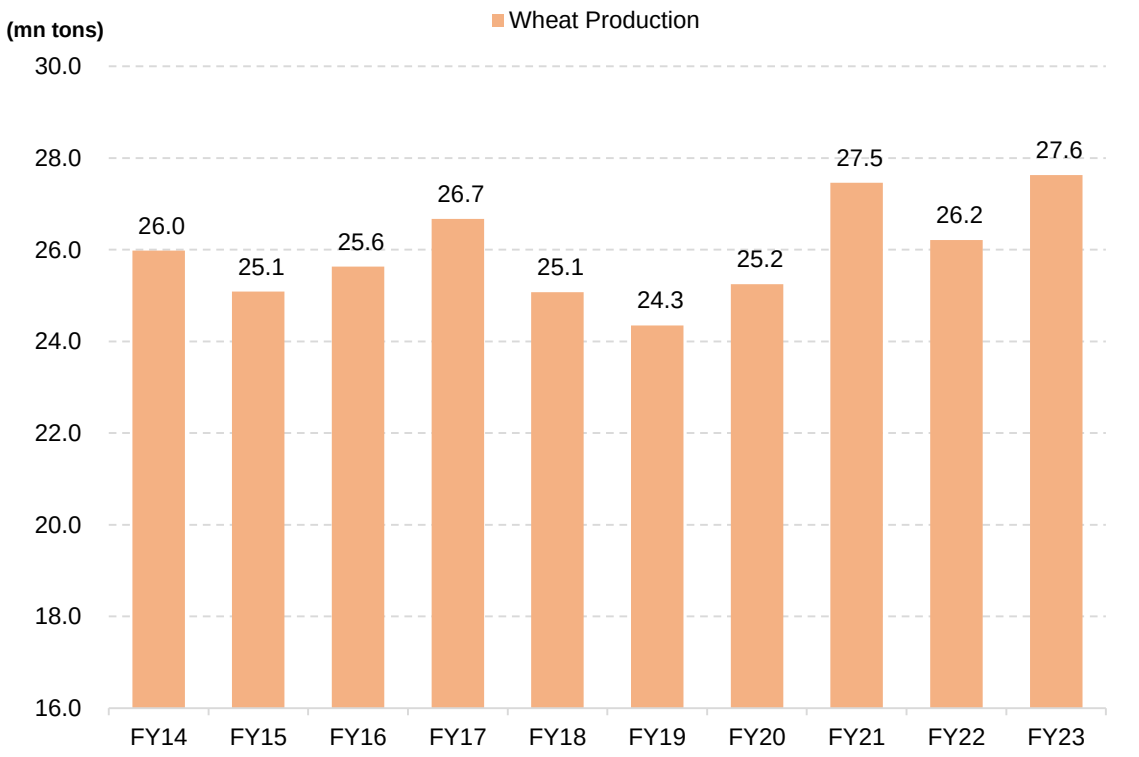


Source (s): Pakistan Economic Survey 2023, AHL Research

Pakistan Economic Survey FY23

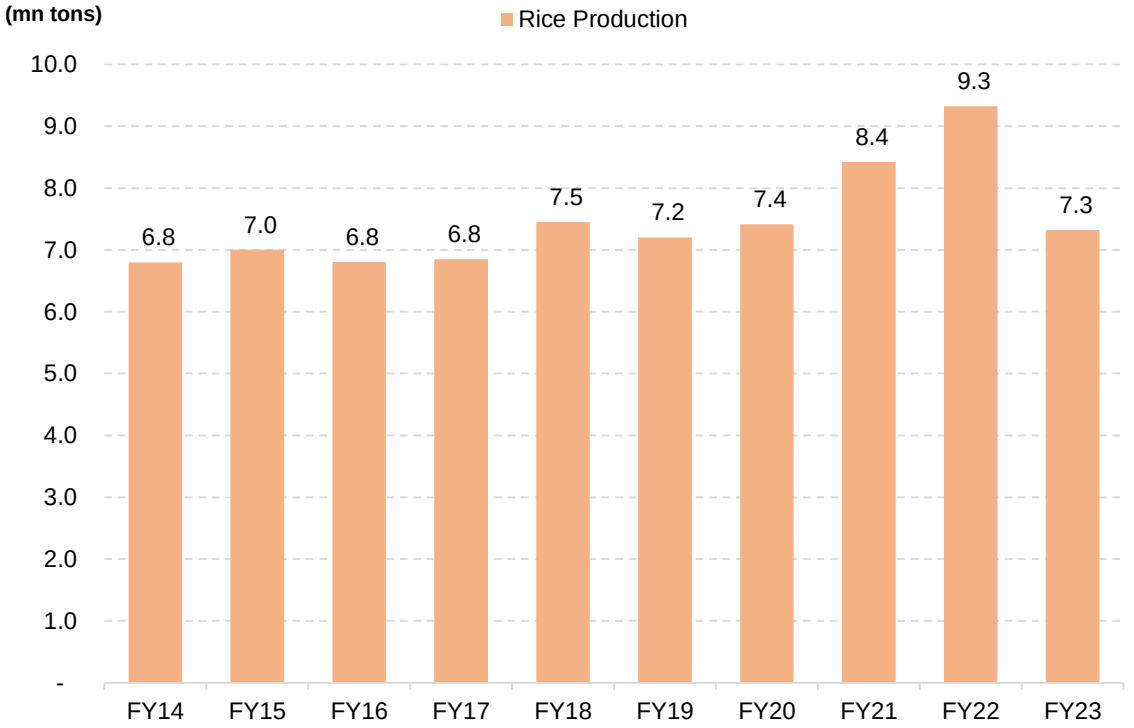
Production of Important Crops

Exhibit: Wheat production increased by 5.4% YoY to 27.6mn tons during FY23



Source (s): Pakistan Economic Survey 2023, AHL Research

Exhibit: Rice production decreased by 21.5% YoY to 7.3mn tons during FY23



Source (s): Pakistan Economic Survey 2023, AHL Research

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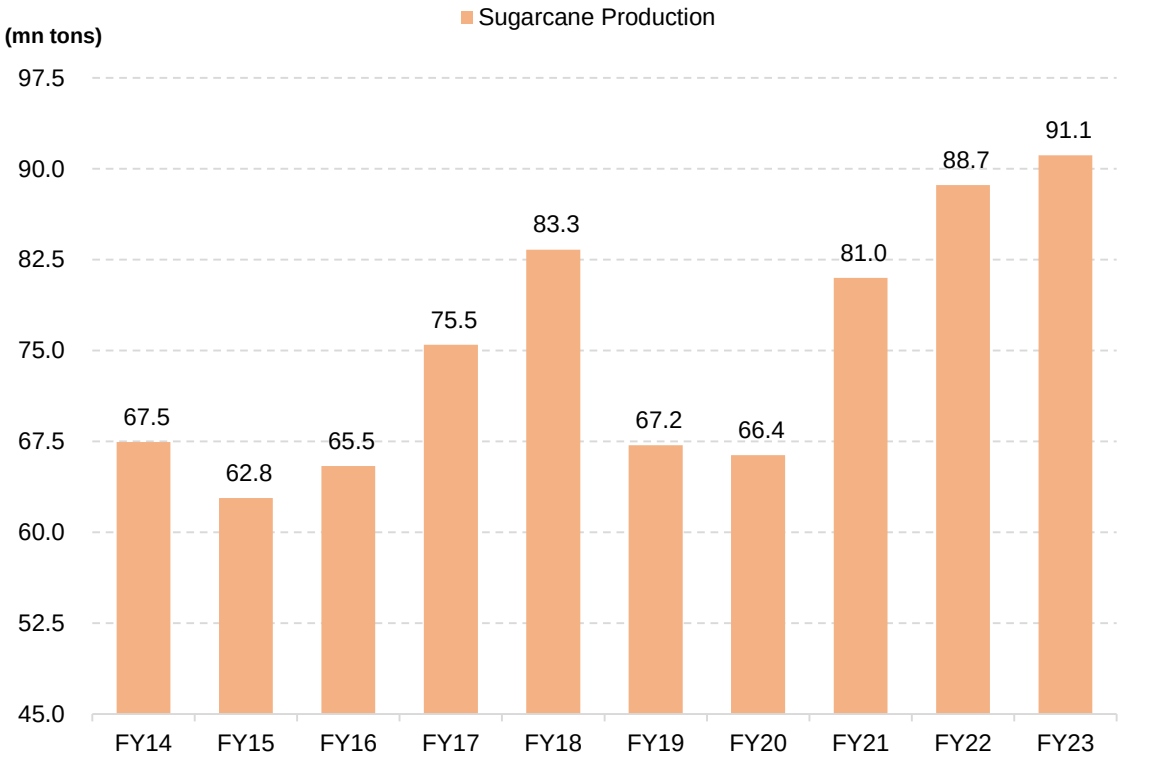
Pakistan Economic Survey FY23

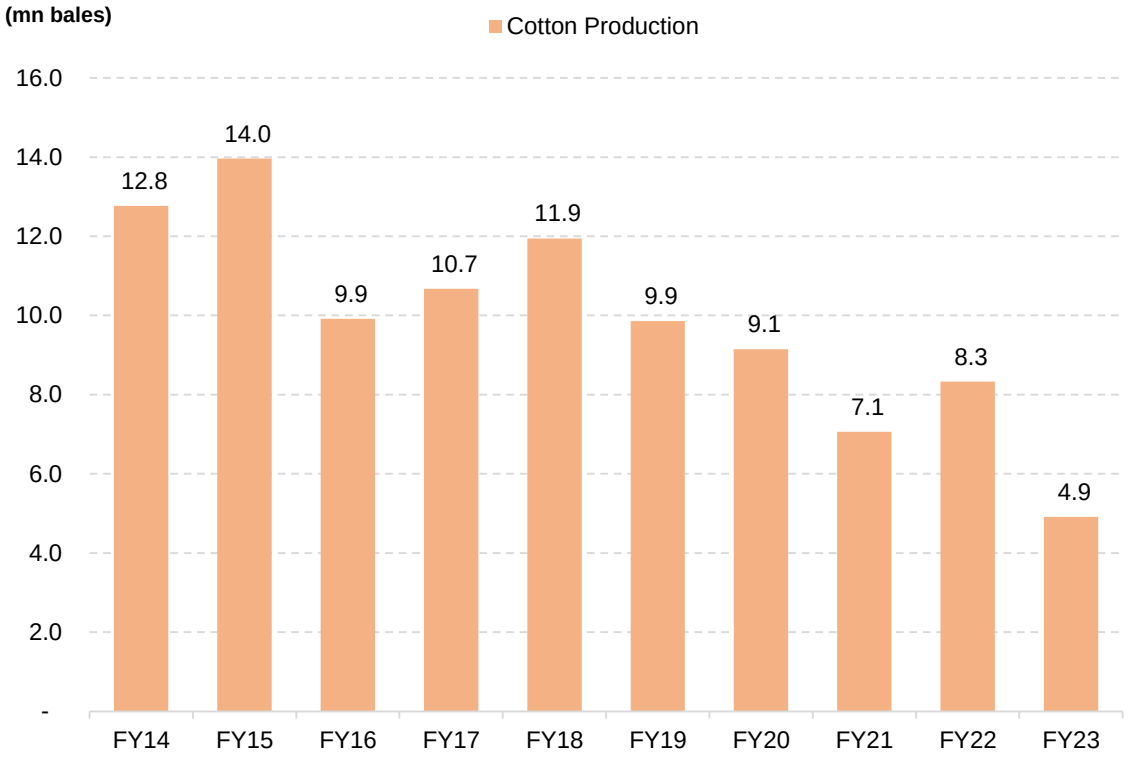
Production of Important Crops

Exhibit: Sugarcane production increased by 2.8% YoY to 91.1mn tons



Source (s): Pakistan Economic Survey 2023, AHL Research

Exhibit: Cotton production decreased by 41.0% YoY to 4.9mn bales during FY23



Source (s): Pakistan Economic Survey 2023, AHL Research

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Rating	Description
BUY	Upside* of subject security(ies) is more than +15% from last closing of market price(s)
HOLD	Upside* of subject security(ies) is between -15% and +15% from last closing of market price(s)
SELL	Upside* of subject security(ies) is less than -15% from last closing of market price(s)

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AHL Research uses the following valuation technique(s) to arrive at the period end target prices;

- Discounted Cash Flow (DCF)
- Dividend Discount Model (DDM)
- Sum of the Parts (SoTP)
- Justified Price to Book (JPTB)
- Reserved Base Valuation (RBV)

Risks: The following risks may potentially impact our valuations of subject security (ies);

- Market risk
- Interest Rate Risk
- Exchange Rate (Currency) Risk

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